

2004	91	18	108	12.7	104	19
2005	87	16	103	12.5	103	20
2006	85	15	100	12.6	109	21

[Table 5.3](#) highlights hedge fund fees from 1996 to 2007. As compared with mutual fund fees, hedge fund fees have stayed fairly steady over time. Although hedge fund fees still have room to fall, and mutual fund fees represent a step in the right direction, with serious negotiation and persistence, it may be increasingly the case that fees can be “whatever you think is fair, since we'd love an allocation.” Certainly we would advocate for negotiating fees lower generally, but in addition, investors can apply the FACTS to give them context for thinking about these fees.

[Table 5.3](#) Hedge Fund Fees over Time (1996 to 2007)

US Equity-related Hedge Funds				
		Performance Fee		Total
	Mgmt. Fee	Quoted Performance Fee	Realized Performance Fee	Mgmt. Fee + Realized Performance Fee
1996	0.92	18.24	3.79	4.71
1997	1.05	18.4	5.4	6.45
1998	0.98	18.25	2.56	3.54
1999	1.03	18.24	5.91	6.94
2000	1.09	18.42	2.35	3.44
2001	1.2	18.93	1.51	2.71
2002	1.24	19.09	1.38	2.62
2003	1.25	19.12	3.4	4.65
2004	1.23	19.03	2.28	3.51
2005	1.26	19.03	2.18	3.44
2006	1.27	18.95	3.25	4.52
2007	1.28	19.15	3.35	4.63